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PUBLIC SERVICE COMMISSION OF WISCONSIN

Application of Wisconsin Electric Power Company, a Gas Public Utility, for Authority to Construct the Rochester Lateral Project, Consisting of Natural Gas Transmission Main and Associated Facilities in the Towns of Brighton, Dover, and Norway, the Villages of Rochester, Raymond, and Caledonia, and the City of Oak Creek, in Kenosha, Racine, and Milwaukee Counties, Wisconsin

6630-CG-139

FINAL DECISION

On April 5, 2024, pursuant to Wis. Stat. § 196.49 and Wis. Admin. Code § PSC 133.03(1)(e), Wisconsin Electric Power Company-Gas Operations (applicant) filed an application for a Certificate of Authority (CA) with the Commission for authority to install approximately 33 miles of 24-inch and 30-inch steel 650 pounds per square inch gauge (psig) maximum allowable operating pressure (MAOP) gas transmission main in the Towns of Brighton, Dover, and Norway; Villages of Rochester, Raymond, and Caledonia; and the City of Oak Creek; in Kenosha, Racine, and Milwaukee Counties. The project is called the Rochester Lateral Project (project). (PSC REF#: 546482 confidential, PSC REF#: 546483 public.) The applicant states the project is needed to provide firm deliverability of natural gas to southeastern Wisconsin. The estimated cost of the project is route dependent, with the applicant's preferred route cost estimated at $200,894,000, not including Allowance for Funds Used During Construction (AFUDC). AFUDC is estimated at $10.9 million.

The application is GRANTED, subject to conditions.

Procedural Background

On April 5, 2024, the applicant filed its initial application. On October 1, 2024, the applicant filed supplemental application materials to include further details on route information and environmental field studies performed subsequent to the initial application. The applicant subsequently made a minor route modification and incorporated that change into a revised version of the application. (PSC REF#: 546482 confidential, PSC REF#: 546483 public.) The application seeks authority to construct a natural gas transmission lateral in Kenosha, Racine, and Milwaukee Counties, Wisconsin. On January 23, 2025, the Commission issued a Notice of Proceeding opening this docket as a Class 1 proceeding and indicating that an environmental assessment (EA) would be prepared. (PSC REF#: 530556.)

Citizens Utility Board of Wisconsin (CUB), Wisconsin Industrial Energy Group (WIEG), and Walnut Way Conservation Corp. (Walnut Way) requested intervention in the proceeding. (PSC REF#: 505999, PSC REF#: 520729, PSC REF#: 532128.) On February 20, 2025, Administrative Law Judge (ALJ) Michael E. Newmark granted the intervention requests. (PSC REF#: 533890.)

On February 25, 2025, the ALJ issued a Notice of Prehearing Conference to be held on February 28, 2025, to determine the parties and issues in the case, and to establish a schedule for the filing of testimony and dates of hearing. (PSC REF#: 534574.) The prehearing conference was held on February 28, 2025. Tr. 1-16 (PSC REF#: 535354). On March 7, 2025, the ALJ issued a Prehearing Conference Memorandum. (PSC REF#: 536026.) The parties, for purposes of review under Wis. Stat. §§ 227.47 and 227.53, are listed in Appendix A.

The issue established in the Prehearing Conference Memorandum is:

A. Does the proposed project comply with the applicable standards under Wis. Stat §§ 1.11, 1.12, 196.025, and 196.49, and Wis. Admin. Code chs. PSC 4 and 133?

This is a Type II action under Wis. Admin. Code § PSC 4.10(2), Table 2i. For a Type II action, the Commission must prepare an EA to consider and document the environmental impacts of the proposed project, and to determine whether the proposed action is a major action significantly affecting the quality of the human environment within the meaning of Wis. Stat. § 1.11, for which an Environmental Impact Statement (EIS) is required. In accordance with Wis. Admin. Code § PSC 4.20(1m), notification of the Commission's intent to prepare an EA, including a solicitation for comments on the environmental aspects of this proposed project, was issued on November 20, 2024. (PSC REF#: 524614.) Commission staff prepared an EA in cooperation with Wisconsin Department of Natural Resources (DNR) staff, pursuant to Wis. Admin. Code § PSC 4.20(2). Based on information collected, documented, and prepared for the EA, the Commission issued a preliminary determination concluding that preparation of an EIS was not necessary on April 29, 2025, pursuant to Wis. Admin. Code § PSC 4.20(3). (PSC REF#: 543711.) Following a 17-day period for public comments on the preliminary determination, the Commission determined, based on the EA prepared and comments received, that the proposed action was not a major action significantly affecting the quality of the human environment within the meaning of Wis. Stat. § 1.11, and filed the EA to the docket on May 20, 2025, pursuant to Wis. Admin. Code § PSC 4.20(4). (PSC REF#: 546537.)

On June 6, 2025, the ALJ issued a Notice of Hearing scheduling both the party and public hearing sessions and starting the 180-day statutory time period for completing the review of the case. (PSC REF#: 548630.) Under Wis. Stat. § 196.49(5r)(am), the Commission is required to

take final action on a CA application within 180 days after the Commission issues a notice of hearing on the application. If the Commission fails to take final action within the 180-day period, the application is approved by operation of law, unless an extension of no more than 180 days is granted by the Commission Chairperson. The deadline for Commission action in this docket is December 3, 2025.

As noticed, the ALJ convened the party hearing virtually on July 15, 2025. Tr. 17-59 (PSC REF#: 556285). At the party hearing, expert witnesses offered testimony on behalf of the applicant, CUB, Department of Agriculture, Trade, and Consumer Protection (DATCP), DNR, and Commission staff. Walnut Way and WIEG did not offer evidence.

As noticed, the ALJ convened the public hearing in-person and virtually on July 17, 2025. Tr. 60-153 (PSC REF#: 556286). The public hearing included two sessions, one in the afternoon and one in the evening, providing members of the public opportunity to submit oral testimony. The Commission also accepted written comments from members of the public at the public hearing, through its website, and by U.S. Mail. (PSC REF#: 556832.)

As noticed, the Commission conducted the hearings as Class 1 contested case proceedings, pursuant to Wis. Stat. §§ 196.02(7), 196.49(5)(d), 227.01(3)(a), and 227.44. Initial briefs were filed on July 31, 2025, and reply briefs were filed on August 12, 2025 by the applicant, CUB, and Walnut Way. WIEG did not file briefs.

	Initial Briefs	**Reply Briefs**
Applicant	PSC REF#: 556867 confidential, PSC REF#: 556868 public	PSC REF#: 558055 confidential, PSC REF#: 558056 public
CUB	PSC REF#: 556870	
Walnut Way	PSC REF#: 556871	

The Commission discussed the record at its open meeting of October 2, 2025. (PSC REF#: 564951.) The Commission delegated authority to Commission staff, pursuant to Wis. Stat. § 15.02(4), to draft a final decision consistent with its discussion and authorized the Secretary to the Commission to sign the Final Decision on behalf of the Commission.

Findings of Fact

1. The applicant is a Wisconsin public utility engaged in providing natural gas service in Wisconsin.

2. The applicant's proposed project includes construction of natural gas transmission facilities, at an estimated cost of $200,894,000 excluding AFUDC for the preferred route. The applicant estimates an AFUDC amount of approximately $10.9 million.

3. The applicant has been previously granted authority to provide natural gas service in all of the municipalities where the project will be constructed.

4. No unusual circumstances suggesting the likelihood of significant environmental consequences are associated with the proposed project.

5. Alternatives to the proposed project have been considered, but no other reasonable alternatives to the project exist that could provide adequate service in a more reliable, timely, cost effective, and environmentally responsible manner.

6. Energy conservation, renewable resources, or other energy priorities listed in Wis. Stat. §§ 1.12 and 196.025, or their combination, are not cost effective, technically feasible, or environmentally sound alternatives to the proposed project.

7. The general public interest and public convenience and necessity require completion of the proposed project. Completion of the proposed project at the estimated cost

will not substantially impair the efficiency of the applicants' service, will not provide facilities unreasonably in excess of probable future requirements, and when placed in operation, will not add to the cost of service without proportionately increasing the value or available quantity thereof. Wis. Stats. § 196.49(3)(b).

8. Critical proposed facilities that could be damaged by flooding are not located in the 100-year flood plain. Consequently, there is no flood risk to the project per 1985 Executive Order 73.

Conclusions of Law

1. The applicant is a public utility, as defined in Wis. Stat. § 196.01(5)(a).

2. The Commission has authority under Wis. Stat. §§ 1.11, 1.12, 196.02, 196.025, 196.395, 196.49, and Wis. Admin. Code chs. PSC 4 and 133, to issue a Certificate and Order authorizing the applicant, as a natural gas public utility, to construct and place in operation the facilities in the Towns of Brighton, Dover, and Norway, the Villages of Rochester, Raymond, and Caledonia, and the City of Oak Creek, in Kenosha, Racine, and Milwaukee Counties as described in this Final Decision, subject to the conditions stated in this Final Decision.

3. The estimated gross cost of this project exceeds the minimum threshold of utility projects requiring Commission review and approval under Wis. Stat. § 196.49 and Wis. Admin. Code § PSC 133.03.

4. The general public interest and public convenience and necessity require completion of the proposed project and the proposed project meets the requirements of Wis. Stat. § 196.49(3)(b) and Wis. Admin. Code ch. PSC 133.

5. The Commission may impose any term, condition, or requirement necessary to protect the public interest pursuant to Wis. Stat. §§ 196.02, 196.395, and 196.49.

6. Pursuant to Wis. Stat. § 15.02(4), the Commission has authority to delegate and redelegate to any officer or employee of the Commission any function vested in it by law.

Opinion

The applicant is a public utility engaged in the business of selling and distributing natural gas to the public in Wisconsin. The applicant proposes to construct a natural gas transmission main in the Towns of Brighton, Dover, and Norway, the Villages of Rochester, Raymond, and Caledonia and the City of Oak Creek, in Kenosha, Racine, and Milwaukee Counties in Wisconsin. The project includes approximately 33 miles of 24-inch and 30-inch steel 650 psig MAOP transmission main. The applicant currently serves natural gas in these municipalities and seeks authority for this project's transmission main to improve its distribution reliability and to serve the growing demand needs on its system.

Description

The proposed project includes the installation of 33 miles of steel main, five new valve assemblies, existing gate station improvements, a new district regulator station, replacement of existing 16-inch main with 24-inch main, and connecting the proposed transmission main to the Oak Creek Liquified Natural Gas (OCLNG) facility recently approved in docket 6630-CG-140 and the Oak Creek Combustion Turbine (OCCT) facility approved in docket 6630-CE-317. Two routing options were proposed for this project: Route A and Route B. Both routes were similar in length and cost. A third option, labeled Route C, consisted of several individual segments that could be used to connect portions of Route A to Route B in order to create a new route. The

applicant also presented its Preferred Route, which is a combination of segments from Routes A and B. The applicant's estimated cost of the Preferred Route is $200,894,000. The estimated cost is based on 2024 costs, the projected in-service year for the proposed project, and does not include AFUDC.

Project Purpose and Need

The applicant's stated purpose for the proposed project is to deliver natural gas to its southeastern Wisconsin service territories starting in the winter of 2027-2028 to support forecasted demand growth, by connecting the Lakeshore Lateral Project (LLP) to the Rochester ANR Gate Station and the combined South Oak Creek and Elm Road Generating Station (ERGS) campus. (PSC REF#: 546482 confidential, PSC REF#: 546483 public.) Additionally, the applicant stated that without this project, there would not be enough capacity on the applicant's distribution system to provide natural gas for the proposed OCCT or the future ERGS upgrade to meet the load, reliability, and resiliency needs of these electric power generation customers. (*Id.)*

Beyond increasing capacity, the applicant stated that the project will boost the natural gas system's reliability and resiliency across a wide area of southeast Wisconsin by providing supply access to both Guardian Pipeline LLC (Guardian) and ANR Pipeline Company (ANR) interstate pipelines as well as the OCLNG facility. This enables options for alternative flows of gas in the case of maintenance, outages, or unplanned events.

Applicable Statutory Criteria and Standard of Proof

Because the applicant is a public utility as defined in Wis. Stat. § 196.01(5)(a), engaged in rendering natural gas service in Wisconsin, the applicant is required to obtain a CA from the

Commission pursuant to Wis. Stat. § 196.49 and Wis. Admin. Code ch. PSC 133, as the proposed project is an addition to plant the cost of which exceeds the cost threshold specified in Wis. Stat. § 196.49(5g)(ar) as revised under Wis. Admin Code ch. PSC 133.03(1)(e)2. The project fits the definition of a "project" pursuant to Wis. Stat. § 196.49(3)(a). Wis. Stat. § 196.49(3)(b) states:

> [N]o project may proceed until the [C]ommission has certified that public convenience and necessity require the project. The [C]ommission may refuse to certify a project if it appears that the completion of the project will do any of the following:
>
> 1. Substantially impair the efficiency of the service of the public utility.
> 2. Provide facilities unreasonably in excess of the probable future requirements.
> 3. When placed in operation, add to the cost of service without proportionately increasing the value or available quantity of service unless the public utility waives consideration by the [C]ommission, in the fixation of rates, of such consequent increase of cost of service.

The Commission is authorized to review and approve public utility applications to construct projects over the applicable cost thresholds. Wis. Stat. § 196.49(3)(b). After reviewing the record compiled in the contested case proceeding, the Commission must determine whether the proposed project will substantially impair the efficiency of the applicant's service; provide facilities unreasonably in excess of probable future requirements; or add to the cost of service without proportionately increasing the value of service as specified by statute. The Commission must also comply with the Wisconsin Environmental Policy Act (WEPA), pursuant to Wis. Stat. § 1.11 and Wis. Admin. Code ch. PSC 4.

The evaluation of a technical and complex project, such as the one proposed in this docket, is an area in which the Commission has special expertise. Since 1907, the Commission has regulated public utilities to ensure that "reasonably adequate service and facilities" are

available to the public at rates that are "reasonable and just." Wis. Stat. § 196.03(1). The Commission's expertise in administering Wis. Stat. § 196.49 to determine what proposed projects are appropriate additions to utility facilities has long been recognized by Wisconsin courts. *See Wisconsin Power & Light Co. v. Pub. Serv. Comm'n of Wisconsin*, 148 Wis. 2d 881, 888, 437 N.W.2d 888 (Ct. App. 1989); *see also Clean Wisconsin, Inc. v. Pub. Serv. Comm'n of Wisconsin*, 2005 WI 93, 282 Wis. 2d 250, 700 N.W.2d 768 (recognizing the Commission's expertise in reviewing proposed utility construction projects under Wis. Stat. § 196.491, which review includes the statutory criteria in Wis. Stat. § 196.49).

The Commission's action in approving or denying an application ultimately depends on the facts found by the Commission. As such, the standard of proof that the Commission must apply can be logically inferred from the standard of review set forth in Wis. Stat. § 227.57(6), which requires a court to remand a decision back to the Commission if its decision "depends on any finding of fact that is not supported by substantial evidence in the record." As the courts have explained, "the substantial evidence test is not weighing the evidence to determine whether a burden of proof is met. Such tests are not applicable to administrative decisions. "*Wisconsin Ass'n of Mfrs. & Commerce, Inc. v. Pub. Serv. Comm'n*, 94 Wis. 2d 314, 321, 287 N.W.2d 844, 847 (Ct. App. 1979). The substantial evidence test simply requires that there be enough evidence for a finding to be reasonable. *See Kitten v. DWD*, 2002 WI 54, 252 Wis. 561, 644 N.W.2d 649; *see also Gateway City Transfer Co. v. Pub. Serv. Comm'n*, 253 Wis. 2d 397, 405, 34 N.W.2d 238, 242, 1948 WL 60150 (1948). In other words, a court must determine whether the Commission used its technical competence and specialized knowledge to determine the persuasiveness of the evidence and reach a well-reasoned decision. In light of this standard of

proof, the Commission focuses on evaluating the evidence to identify the finding that is supported by substantial evidence.

Energy Efficiency and Conservation

The applicant demonstrated that the customer requests from its Wisconsin Electric Power Company (WEPCO) customer for its OCCT, ERGS, and Paris Reciprocating Internal Combustion Engine (Paris RICE) facilities represented a 61 percent increase in firm peak day demand from its 2023-2024 heating season to its 2027-2028 heating season, with other customers' demand increasing 4 percent for a total increase of 65 percent. (PSC REF#: 546482 confidential, PSC REF#: 546483 public at 15-16 and 22; PSC REF#: 541101 confidential, PSC REF#: 541102 public at 4-5) The applicant also demonstrated that those demand forecasts included energy efficiency considerations by embedding demand response programs into its load forecasts based on historical electric demand growth. (PSC REF#: 540955 confidential, PSC REF#: 540956 public at 41 and 46.) Additionally, the applicant stated it would not be cost-effective or technically feasible to pursue a demand reduction from energy efficiency to alleviate its need for this project. (*Id.*)

The applicant stated that the proposed project would not impact the level of firm resources and reserve margins, since this project would facilitate the distribution of natural gas from pipeline and LNG resources to the southeast portion of its service territory. (PSC REF#: 534114.) Although this project will not change the applicant's gas supply plan's firm resources or reserve margins, the applicant stated the proposed project's distribution is necessary to provide supply access to the significantly large 65 percent increase in firm peak day demand from its 2023-2024 heating season to its 2027-2028 heating season in its Lakeshore/Western

service territory as discussed above. (PSC REF#: 546482 confidential, PSC REF#: 546483 public at 15-16 and 22; PSC REF#: 541101 confidential, PSC REF#: 541102 public at 4-5.)

No special circumstances exist that would lead a decision-maker to conclude that additional energy efficiency or conservations efforts would be a cost-effective alternative to this project as listed in Wis. Stat. §§ 1.12 and 196.025. The Commission agrees with the applicant that these sources would not sufficiently reduce or replace the identified need to deliver natural gas to WEPCO electric operations generation facilities. The Commission finds that energy efficiency and conservation are not technically feasible, cost-effective alternatives to the project given the large increase in gas deliverability required for these facilities. For the purposes of this proceeding, the Commission deems reasonable the applicant's consideration of system alternatives. The Commission further finds that the applicant's basis for choosing the proposed project over other system alternatives is reasonable.

Project Alternative Analysis

The applicant stated that there is not currently sufficient distribution infrastructure to meet the significant natural gas load increase that comes from the applicant's proposed OCCT project and the upcoming ERGS conversion project. The applicant stated the proposed Rochester Lateral project is required regardless of supply source (ANR, Guardian, Northern Natural Gas Company) and therefore did not provide any other alternatives in the application. The applicant further stated that ANR is the closest interstate pipeline to the Oak Creek area and is still a significant distance west of the Oak Creek site, so the expansion of any interstate pipeline would require construction of a lateral to connect the pipeline with the natural gas distribution network.

No additional alternatives were explored in detail; however, Commission staff asked the applicant about the feasibility of increasing capacity through two scenarios for the electric customer through upgrades to the existing systems in the Oak Creek area without the proposed project.

The first scenario discussed involves upgrading roughly 23 miles of main from New Berlin to South Milwaukee to 36-inch steel pipe, a new gate station in New Berlin from ANR, 2 miles of 30-inch steel pipe, rebuilding the existing ERGS meter set to accommodate a lower inlet pressure, the service and meter set for the OCCT, and the lines to the OCLNG. To develop a cost estimate for this scenario the applicant used the construction cost of a 30-inch steel pipe and used a 30 percent adder to estimate the cost for the 36-inch steel pipe. Taking all of this into account the applicant's high-level cost estimate for this option was approximately $300 million, or 42.1 percent more than the preferred route for the Rochester Lateral. Finally, the Paris Generating Station is directly adjacent to the Lakeshore Lateral transmission line. The upgrades to feed the Paris Generating Station from the Lakeshore Lateral would also include a service lateral and meter set. The applicant's high-level cost estimate for those additions is approximately $3 million.

The second scenario Commission staff inquired about was the potential to feed the Oak Creek generation site from the newly constructed Lakeshore Lateral and Lakeshore capacity increase project through the Lakeshore 300 psig system. The applicant stated that to get the capacity required, the upgrades required would include looping approximately 15.5 miles of the existing Lakeshore Lateral with a second 24-inch steel main, approximately 19.6 miles of 36-inch steel main from the Lakeshore high pressure district regulator to the Oak Creek generation site. A high-level desktop review of the cost estimate not including AFUDC is

estimated to cost $287 million, a cost increase of approximately $86 million or 43 percent more than the proposed Preferred Route for the project, which totals $200,894,000. Like the previous scenario, the estimate included a 30 percent adder to the cost of 30-inch steel construction to figure out the construction costs for the 36-inch steel portion.

Energy Priorities Law

Wisconsin Stat. § 196.025(1)(ar) requires the Commission, to the extent cost-effective, technically feasible, environmentally sound, to consider the following priorities in Wis. Stat. § 1.12(4), known as the Energy Priorities Law (EPL), in making all energy-related decisions and orders:

(a) Energy conservation and efficiency.
(b) Noncombustible and renewable energy resources.
(c) Combustible renewable energy resources.
(cm) Advanced nuclear energy using a reactor design or amended reactor design approved after December 31, 2010, by the U.S. Nuclear Regulatory Commission.
(d) Nonrenewable combustible energy resources, in the order listed:
    1. Natural gas.
    2. Oil or coal with a sulphur content of less than 1 percent.
    3. All other carbon-based fuels.

In enacting the EPL, however, the legislature made a point of recognizing that the bill did not create any standards for determining the extent to which the priority list is actually used in making such determinations, nor did the lawmakers establish that an item that is not on the top of the list cannot be built. Instead, the legislators made clear that agencies should look to how a project could fit into the entire energy mix. "[C]ompliance with the directive that agencies follow the priority list will be reflected in the overall pattern of decisions made by each agency…the success of implementing the priority list will be reflected in the overall pattern of energy generation and use, across the state and through time." Prefatory Note to 1993 Assembly Bill 701.

The applicant argued that no other alternatives exist that are cost-effective, technically feasible, and environmentally sound alternatives to the project. The applicant noted that no party has identified a higher energy priority that could replace the project in their discussion.

The Commission finds, based upon the record before it, that there are no higher ranked EPL alternatives that are cost-effective, technically feasible, and environmentally sound alternatives to the proposed project. The Commission notes this project is not a generation project, but rather transporting fuel. The Commission finds that the proposed project complies with the requirements of the Wis. Stat. §§ 196.025(1)(ar) and 1.12(4).

Route Alternatives

The applicant proposed two route alternatives for the project, Route A and Route B, with additional segments referred to as Route C that could be used to connect portions of Route A to Route B. There were also AB segments, which were segments that both Routes A and B would have in common. Routes A and B were similar in length and cost. Both Routes would begin at the Rochester Gate on the western end, terminate at the Oak Creek plant on the eastern end, and connect to the Lakeshore Lateral to the south. The applicant also proposed its Preferred Route in the application, which was a combination of Routes A, B, and connector segments C.

In general, Route A had less environmental impacts compared to Route B, and the applicant's Preferred Route ranked better than Route B, but worse than Route A in terms of environmental impacts. From a safety standpoint, Route A had eight high-consequence areas, Route B had six high-consequence areas, and the applicant's Preferred Route had seven high-consequence areas. The applicant's Preferred Route had the least amount of pipeline mileage and was less expensive than Route B, but slightly more expensive than Route A.

Potentially affected landowners proposed several route adjustments and comments during the EA scoping period addressing potential impacts to property and other environmental impacts.

Authorized Route and Project Cost

The Commission authorizes applicant's Preferred Route, which consists of a combination of Routes A, B, and connector segments C. The Preferred Route is estimated to cost $200,894,000, not including AFUDC. The Preferred Route is slightly more expensive than Route A while costing almost $4 million less than Route B. Similarly, for environmental impacts the Preferred Route ranked better than Route B, but worse than Route A in terms of environmental impacts. Of the 3 routes the applicant's Preferred Route had the least amount of total pipeline mileage and nearly tied Route B in the amount of consequence mileage, which considers a combination of high consequence areas and medium consequence areas, while Route A had the highest amount of consequence mileage. Furthermore the Preferred Route avoided a number of landowner issues that arose during the review process. The Commission finds the applicant's Preferred Route is reasonable as it appropriately balances environmental, landowner, and public safety impacts, and cost.

Compliance with Wisconsin Environmental Policy Act (WEPA)

Wisconsin Stat. § 1.11 requires all state agencies to consider the environmental impacts of "major actions" that could significantly affect the quality of the human environment. In Wis. Admin. Code ch. PSC 4, the Commission has categorized the types of actions it undertakes for purposes of complying with this law. This is a Type II action under Wis. Admin. Code § PSC 4.10(2). The Commission has fulfilled its requirements under WEPA through the preparation and issuance of an EA and the creation of the record of the technical and public

hearings held in the project area. The EA was prepared by Commission and DNR staff. It has been determined that no significant environmental impacts on the human environment are likely to occur as a result of this project. Therefore, preparation of an environmental impact statement (EIS) is not required. The findings of the EA are summarized below.

The application described multiple construction methods and conditions that the applicant committed to implement to reduce potential project impacts to landowners, land use, and environmental resources along the project route. The analysis of the project by Commission staff, including the EA that was prepared, assumes that the multiple construction methods and commitments as described in the application reduce potential project impacts.

Intervenor Walnut Way raised various arguments in its brief related to segmentation of projects and the environmental review process. The Commission does not agree with such arguments and finds that the environmental review of this project was appropriate given the nature of the proposed project, totality of the record, and the applicable legal requirements.

The Commission finds that it has fulfilled its requirements under WEPA through the preparation of the EA and appropriately found that no EIS was required. The environmental review conducted in this proceeding complies with the requirements of Wis. Stat. § 1.11 and Wis. Admin. Code ch. PSC 4.

Environmental Review

The results of Commission staff's environmental review for this project are described in the EA. Based on Commission and DNR staff analysis, the main environmental effects associated with constructing the proposed project include:

- Temporary construction impacts

- Vegetation and tree clearing along the pipeline route
- Impacts to agricultural crop yields post-construction
- Indirect contributions to greenhouse gas emissions and climate change

Historic Resources Review

A review of the Wisconsin Historic Preservation Database (WHPD) indicated that 11 Archaeological Site Inventory (ASI) properties and 21 Architecture History Inventory (AHI) properties were in the area of potential effect (APE). No above-ground facilities would have a visual effect on any of these AHI properties and the properties have not been determined eligible as historic property. All ASI properties lacked the integrity and materials to qualify as historic properties under Wis. Stat §§ 44.36(2) and 44.40. One property was unable to be evaluated to determine whether it met historic property criteria due to lack of landowner permission. A burial site also was identified that could intersect the proposed project. The applicant stated that it would have the University of Wisconsin–Milwaukee Cultural Resource Management (UWM-CRM) complete Phase I field surveys once access is granted and also would work with UWM-CRM to address any impacts to the burial site identified. Direct-WEPCO-Brieske-r-10 (PSC REF#: 554818). Based on these results, there are no historic properties in the APE that are expected to be affected by the proposed project.

The applicant would notify the Wisconsin Tribal Historic Preservation Officers should relevant Native American human burial sites or significant prehistoric archaeological sites be encountered. The Unanticipated Archaeological Discoveries Plan can be found in Appendix F: Attachment 8 of the application. Ex.-WEPCO-Application-r3 (PSC REF#: 519070).

Endangered Resources (ER) Review

The applicant completed a certified ER Review with DNR to identify any protected species within the project area. DNR provided required and recommended actions for each species. 'Required actions' represent DNR's best available guidance for complying with state and federal endangered species laws based on the project information provided by the applicant and the endangered resources information and data that is available. 'Recommended actions' are those DNR strongly encourages to help prevent future endangered resources listings and protect Wisconsin's biodiversity for future generations. The ER Review identified required actions for one bird species; and recommended actions for one bee species, three bird species, five communities, one mammal, 13 plant species, and one herptile species along the various route combinations. To minimize impacts to plant species that may be present in multiple places along the proposed project, it is highly recommended to complete plant surveys in high quality areas and if found, make efforts to avoid or minimize impacts.

The applicant stated it would assume the bird species is present on the site and avoid all disturbances to the project site during the active/breeding season. If the project cannot completely avoid all of the suitable habitat during this period, the applicant would contact DNR to determine other options. (PSC REF#: 546482 confidential, PSC REF#: 546483 public at 119.) The applicant also stated that it would make every reasonable effort to voluntarily implement the recommended actions identified in the ER Review for the identified herptile species. Ex.-PSC-DRR-r-Response-2.09 (PSC REF#: 528950).

Based on this information as well as information available from DNR and U.S. Fish and Wildlife Service, the project as described in the application is not expected to have a significant impact on rare species.

Wetlands and Waterways

Several waterways would be crossed during construction of this project. Construction methods used for crossing waterways include open cut trenching and horizontal directional drilling (HDD). There are no proposed permanent impacts to waterways associated with the project. One risk associated with the HDD method is the potential for a spill, tunnel collapse, or rupture and release of drilling lubricant to the surface, known as a frac-out. The applicant provided a copy of its response plan for the inadvertent release of drilling lubricants during HDD activities that describes the actions to be taken should a frac-out occur. Many wetlands would be intersected by this project. Some impacts to wetlands may be partially or wholly avoided by using HDD methods. The project would not result in any permanent fill in wetlands. All temporarily impacted wetlands would be restored to pre-existing conditions, except for shrub and forested wetland communities converted to herbaceous communities within the 20-foot-wide maintained right-of-way (ROW).

Agricultural Land

Excluding staging areas, proposed Route A crosses approximately 239 acres of agricultural land and proposed Route B crosses approximately 246 acres. The applicant's preferred route crosses approximately 240 acres of agricultural land. Impacts to agricultural lands may include crop loss, soil compaction, and damage to drain tiles. After construction is completed, the project may continue to affect agricultural productivity for years afterwards.

Yield reductions may be caused by inadequate protection of topsoil, changes to surface and subsurface drainage, construction debris left in the fields, soil compaction, and opportunistic weed growth.

An Agricultural Impact Statement (AIS) was completed by DATCP for the project, which describes in detail the multitude of potential impacts to agricultural lands resulting from the proposed project. Ex.-DATCP-AIS (PSC REF#: 546280). The AIS is intended to inform potentially-impacted farmland owners, the applicant, and the Commission of the potential effects the proposed project could have on agricultural operations. The AIS also recommended ways to avoid, minimize, or mitigate these impacts. DATCP witness Kirsten Biefeld provided testimony in this regard.

In the AIS and testimony, DATCP recommended that the Commission select a route alternative that utilizes as much pre-existing ROW as possible, including pipeline, railroad, and roadway corridors, in order to reduce the overall impacts to agricultural lands and operation such as potential parcel severance during the period of construction and long-lasting impacts to the soil in terms of crop yield loss and drainage. While DATCP recommended the Commission choose the applicant's Preferred Route as it has the lowest amount of agricultural impacts compared to the other routes considered, DATCP also recommended the Commission consider exchanging certain sections of this route with another so that the final route follows the edge of fields and road ROW further and reduces agricultural impacts to the greatest extent possible, such as choosing Segment B-6 over A-6. Direct-DATCP-Biefeld-3 (PSC REF#: 546279).

Additionally, DATCP highlighted several voluntary Best Practice Management recommendations made to the applicant in the AIS, which the applicant did not oppose. Direct-DATCP-Biefeld-4 (PSC REF#: 546279).

i. DATCP recommends the applicant follow all the recommended mitigation efforts described in Section 5.7.1 through Section 5.7.19 to mitigate project impacts to or regarding: topsoil, increased rock content, de-icing and traction control, de-watering, erosion and conservation practices, fencing, weed control, construction debris, feed supply and dairy operations, construction noise and dust, restoration, irrigation, temporary access roads, managed forests, organic farms, and biosecurity.

ii. The applicant should continue to monitor the project ROW for soil erosion and maintain erosion control practices until there is sufficient vegetative growth in the ROW to mitigate soil erosion.

iii. The applicant should provide landowners with direct phone numbers and email addresses to applicant project staff and project contractors that are able to respond to a range of topics including but not limited to: environmental and agricultural impacts, land acquisition and ROW, project schedule, access limitations, compensation for release of lands from conservation programming, and project complaints.

iv. The applicant should inform the affected agricultural property owners who have soils that are candidates for the three-lift soil handling method. At the same time, the applicant should also inform these property owners how three-lift soil

handling could preserve the productivity of their fields and distribute a copy of ARM-LWR-294 or a similar publication.

v. If there is adequate growing season for a crop to mature and be harvested after the applicant has an interest in the impacted lands, but before construction along the project corridor begins, the applicant should allow the current agricultural operators to harvest a crop for that season to the extent possible or the applicant shall compensate the agricultural operators for crop damages.

vi. The applicant should consult with the affected agricultural landowners and operators to ensure any relocated, temporary or newly established agricultural land access points are located in areas that provide safe and efficient access to remnant agricultural properties.

vii. The applicant should provide notice and project information to impacted county drainage districts during the project planning stage and invite DATCP and the county drainage board to identify potential concerns.

viii. The applicant should provide appropriate compensation to all landowners with land enrolled in a conservation easement or farm program if the landowner must reimburse the administering agency for the land's removal or alteration. These conservation or farm programs could include, but are not limited to, Conservation Reserve Program (CRP), Conservation Reserve and Enhancement Program (CREP), Farmland Preservation Program (FP), or the Managed Forest Law program (MFL).

ix. The applicant should consult DATCP as soon as a route is selected affording as much time as possible prior to construction regarding the status of effective agreements within the project corridor and for information regarding required releases of land and repayment of funds for any CREP or FP agreements within the chosen project corridor.

x. The applicant is advised to consult the applicable County Land Conservation Department on the existence of installed Soil and Water Resource Management (SWRM) conservation practices within the project area.

xi. The applicant should implement training for all construction supervisors, inspectors, and crews to ensure that they understand the steps needed to protect the integrity of agricultural lands and operations during project construction and restoration.

Forested Land

Approximately 20.7 acres of upland forest are located along proposed Route A and 24.6 acres are located along proposed Route B. The applicant's preferred route includes approximately 20 acres of forested land. Regular maintenance clearing of trees and shrubs over the natural gas pipeline would be necessary to facilitate periodic inspections and surveys. A corridor of approximately 20 feet wide may be cleared of trees and shrubs as needed for the duration of the pipeline.

The applicant stated it would comply with the requirements of Wis. Admin. Code § PSC 113.0511 by timing cutting or pruning oak trees to minimize the spread of oak wilt (applicable between April 15–July 1). Ex.-WEPCO-Application-r3 (PSC REF#: 546483 at 69).

The requirements for rare bird species would be followed, which involves avoidance of suitable habitat within one mile of the known rare bird occurrence or conducting surveys to determine presence. There are no known occurrences of bats or bat hibernaculum and there are no known roost trees present within the vicinity of the project corridor. The applicant stated it would conduct tree clearing for the project in the fall of 2026 and winter of 2027 pending CA approval and that certain clearing area times may need to be adjusted pending further review related to any more specific restrictions for the possible presence of certain rare species occurrences. Ex.-PSC-DRR-r-Response-EAT-1.57 (PSC REF#: 524777). Conducting tree clearing in this timeframe can also aid in minimizing potential impacts to any other bird species that may be nesting in the prime nesting season

Grasslands

Approximately 64 acres of grassland are located along Route A, 61 acres are located along Route B, and approximately 59 acres of grassland are located along the applicant's preferred route. Impacts to grasslands are temporary in nature because vegetation would be allowed to regrow after construction. Natural areas or prairie grasslands may be seeded with a native seed mix.

Parks and Recreation

The proposed routes intersect parks and recreational trails at various points. Route A intersects two parks and two trails, including Gorney Park and Whitewater State Trail; and Route B intersects two parks and the White River State Trail. Two C segments along the Preferred Route intersect Beaumont Park, Bong State Recreation Area, and Brighton Dale Park. Portions of Bong State Recreation Area crossed and impacted by Route C segments are funded

by the Land and Water Conservation Fund (LWCF) and may also require approvals from the National Park Service. The applicant states in its application that ground surface would be restored to pre-existing conditions to the extent practicable once construction activities are complete.

To help avoid and minimize impacts to DNR properties during construction and post-construction, DNR witness Kyle McLaughlin suggested an order condition for the applicant to coordinate with DNR property manager(s) and relevant program staff for work proposed across the White River State Trail and within the Richard Bong State Recreation Area to specifically address project timing, site impacts, and site restoration measures to limit impacts to state properties. The Commission finds this condition reasonable to be required for the approval of the project.

Federal, State, and Local Permits

The applicant states that it will obtain all necessary federal, state, and local permits prior to commencing construction of the proposed project. The applicant shall construct the approved project in accordance with applicable state and federal law.

Developed Land

Route A would impact approximately 28 acres of developed land, Route B would impact approximately 27 acres, and the applicant's preferred route would impact approximately 30 acres. There are 11 residential buildings within 100 feet of Route A, 21 residential buildings within 100 feet of Route B, and 11 residential buildings within 100 feet of the Preferred Route. Ex.-PSC-DRR-r-EAT-1.65 (PSC REF#: 524783).

Community impacts would be primarily related to temporary impacts to roads and driveways in the project area, localized increases in noise, vibrations, air quality degradation and odors during construction, and the new permanent placement of a natural gas pipeline. Alterations to the existing aboveground features, such as the clearing of trees and other vegetation, could negatively affect the aesthetics along the route. New aboveground valve assembly facilities will also introduce new visual impacts. Roadway access along the route during construction will be temporarily impacted. The applicant states that property owners would be provided maximum allowable driveway access during construction and if a property owner's driveway needs to be temporarily disturbed, they would be notified in advance. Additionally, any landscaping disturbed would be restored or compensated accordingly. Any area of installed pipeline would contain easements that would have some restrictions on land use in those areas.

After reviewing the impacts of the proposed project, the Commission determined no significant impacts on the human environment are anticipated that would warrant the preparation of an EIS. The project as proposed in the application and subsequent filings, including use of the stated construction methods and implementation of mitigation plans, is not expected to cause any significant environmental effects.

Safety

New natural gas transmission facilities constructed are subject to all safety standards in Title 49 Code of Federal Regulations (CFR) Part 192 and Wis. Admin. Code § PSC 135. The Commission adopted 49 CFR Part 192 in its entirety in Wis. Admin. Code § PSC 135.019.

Commission staff's evaluation concluded that the proposed project design complied with 49 CFR Part 192, but recommended further actions for Commission consideration that would take place during the final design stage. These additional conditions would further ensure the safety of the design and operation of the project. The applicant did not oppose the imposition of the conditions suggested by Commission staff outside of the close interval survey condition. The Commission finds that the imposition of the conditions as described in Order Conditions 6, and 20-33 of this Final Decision are reasonable in order to confirm compliance with applicable safety requirements.

Construction Schedule

Construction is tentatively scheduled to begin in late 2026 with an estimated completion by the end of 2027. The project will be broken into phases for permit acquisition and construction reporting purposes.

Project Cost and Rate Impact

Construction of the proposed project's preferred route as authorized is estimated to cost $200,894,000 as shown below. The estimated cost is based on 2024 costs excluding AFUDC. The applicant indicated that the estimated AFUDC financing costs would be approximately $10.9 million. The Commission finds it is reasonable for the applicant to accrue AFUDC on 100 percent of the Rochester Lateral project CWIP balance provided that the calculation of AFUDC shall not be based on a cost greater than $200,894,000 for the preferred route.

The estimated total cost of the project by major plant category is provided in the table below:

Plant Account	Estimated Preferred Route Project Cost
Land and Land Rights	$8,235,000
Structures and Improvements	$1,843,000
Mains	$172,018,000
Measuring and Regulating Station Equipment (General)	$7,591,000
Measuring and Regulating Station Equipment (City Gate Stations)	$5,491,000
Services	$289,000
Gas Distribution Industrial Measures and Regulation	$5,427,000
Subtotal	**$200,894,000**
AFUDC	$10,884,423
Total Gross Project Cost	**$200,894,000**

The proposed project would increase the revenue requirement, in the year it is placed in service, by an estimated $23,791,352. The increase represents approximately 3.37 percent of the estimated annual revenues in the year the project would be completed.

Conclusion

The record in this matter involves construct a natural gas transmission main in the Towns of Brighton, Dover, and Norway, the Villages of Rochester, Raymond, and Caledonia and the City of Oak Creek, in Kenosha, Racine, and Milwaukee Counties in Wisconsin.. The record demonstrates the proposed project will support forecasted demand growth and increase system reliability and resiliency across a wide area of southeast Wisconsin. A significant portion of the increased demand comes from the applicant's electric generation customers and projects the Commission previously reviewed and approved. The record reasonably demonstrates how the proposed project would address needs and service obligations and that the project is permittable. The Commission finds that the applicant has demonstrated that the proposed project will not add to its cost of service without proportionately increasing the value or available quantity of service. Wis. Stat. § 196.49(3)(b)(3). In addition, the Commission finds it reasonable to conclude that the project would neither substantially impair the efficiency of the applicant's service under Wis.

Stat. § 196.49(3)(b)(1), nor provide facilities unreasonably in excess of their probable future requirements under Wis. Stat. § 196.49(3)(b)(2).

Given the identified need for the project is driven largely by the applicant's proposed OCCT project and the upcoming ERGS conversion project, the Commission finds it reasonable to impose an order condition requiring that: "In the event the applicant's anticipated or actual firm deliverability requirements as specified in the application significantly decrease, or the applicant decides not to pursue, or modifies the scope of, the planned conversion of the Elm Road Generating Station to natural gas, the applicant shall, within 30 days, both notify the Commission of the change and detail the changes in project scope."

Discussion of Order Conditions

In issuing a CA for a public utility, the Commission has the authority under Wis. Stat. §§ 196.395 and 196.49(3)(c) to include conditions. Commission staff, the applicant, and intervenors presented various order conditions for consideration.

Standard Order Conditions

Typically, the Commission's Final Decision for gas construction projects includes general conditions relating to the authorized construction, reporting, communication, and minor siting adjustments. Commission staff proposed that the Commission might wish to consider imposing similar conditions in this case.

As a proposed standard order condition, Commission staff suggested a "hard cap" reporting requirement where the applicant would need to notify the Commission within 30 days if it is discovered or identified that the project cost, including force majeure costs, may exceed the estimated cost. Commission staff noted that the Commission moved away from a 10 percent

threshold formerly allowed for cost overrun reporting in 2023, and has required notification for overruns of estimated costs since then. Commission staff also asserted that the Commission's application of the "hard cap" order condition is well established and continuing to require notification of any and all exceedance is useful in encouraging the applicant to reduce project costs and understanding overruns later in a rate case. CUB also supported the "hard cap" order condition for notification of cost overruns.

The applicant opposed Commission staff's "hard cap" as a standard order condition, stating a preference for a "10 percent tolerance band" and recommending alternative language that would only require notification once costs exceeded estimated costs by more than 10 percent. It stated it would be impossible to know exactly what conditions it will encounter in burying over 30 miles of pipeline and asserted that this is the first applicant pipeline project upon which such a hard cap would be imposed.

The Commission, acting consistently with recent construction project approvals since 2023, finds it cannot support the applicant's suggested 10 percent tolerance band for cost overruns. This decision maintains consistency with previous related projects.

The Commission therefore finds all standard order conditions proposed by Commission staff are reasonable to impose as they are consistent with prior decisions in related natural gas dockets. The Commission also finds it reasonable to impose one additional order condition that is standard in many other construction final decisions. The Commission therefore requires that "All commitments made by the applicant in its application, subsequent filings, and the provisions of the Final Decision shall apply to the applicant, any agents, contractors, successors, assigns,

corporate affiliates, and any future owners or operators of the project." This modification is made to be consistent with prior decisions.

Project-Specific Conditions

CUB proposed several project-specific conditions aimed at limiting the potential for project cost increases. CUB suggested the Commission should include an order condition capping the recovery of project costs at the estimated amount or some other value determined by the Commission. CUB also proposed a change order condition that would require the applicant to report all project changes that may impact project cost or the project in service date. Additionally, CUB proposed a *force majeure* condition, which would add specificity to define the circumstances that would constitute *force majeure* as it relates to recoverability of project costs. Finally, CUB suggested the Commission set forth in its Final Decision specific thresholds that would cause the Commission to reopen the proceeding (e.g. project cost exceeding 15 percent; project changes that delay the project by 180 days or more), in order to evaluate cost overruns.

The applicant opposed all of CUB's suggested project-specific conditions. It described the conditions as overly burdensome, and asserted this project is entitled to a presumption of prudence. The applicant suggested the Commission continue its practice of reviewing final costs in rate cases where recovery of those costs is requested.

Consistent with past decisions on related projects, the Commission finds that the imposition of CUB's suggested project specific conditions is not necessary. The Commission notes that several of CUB's conditions will be in the scope of the Commission's cost overruns generic investigation, docket no. 5-UI-124.

To assist the Commission with determining the prudency of costs in a future rate proceeding, Commission staff suggested both the standard quarterly reporting requirements typically approved in natural gas construction dockets, as well as an additional reporting requirement requiring the applicant to report "[a] summary of competitive bids received within the quarter, if any, for work to be performed and equipment to be procured as part of the project." The Commission finds it reasonable to approve the standard quarterly reporting condition and the competitive bids condition, modified to add the language "as applicable" to the beginning of the condition. Given the need drivers for the project, the Commission also finds it reasonable to require the applicant to report "the status of the applicant's planned conversion of the Elm Road Generating Station to natural gas" as an additional quarterly reporting condition.

Commission staff proposed a cost allocation order condition to require the applicant to provide in its next rate case information detailing how it developed its cost allocation methodology for this project. Commission staff stated that existing natural gas customers make up approximately 6 percent of the total expected demand growth compared to 94 percent for electric generation customers requesting the substantial additional firm capacity. (PSC REF#: 546468 confidential, PSC REF#: 546469 public at 5-6.) Commission staff asserted that although the project will benefit all of the applicant's customers, the primary driver of the need for the proposed project is due to electric generation customers requesting additional firm capacity. Commission staff noted that while this proposed project does not result in an increase to the applicant's firm capacity resource, the project is intended to facilitate the distribution of natural gas from existing and proposed capacity resources. Commission staff further asserted that the proposed order condition would ensure that the applicant provides information in its next rate

case detailing how it developed its allocation methodology to ensure costs are allocated appropriately. The applicant disagreed on the necessity of this order condition, stating that its cost allocation methodology is already a part of any rate case and subject to discovery. The Commission supports the inclusion of Commission staff's proposed cost allocation order condition with modifications to improve flexibility and clarity on the type of information it would like to see provided. The Commission finds it reasonable to impose a revised order condition that reads: "The applicant shall provide, in a future rate case proceeding, information detailing how it developed its cost allocation methodology for this project. Information should include, but not be limited to, projections of allocation to natural gas system customers, the OCCTs and ERGS throughout time given expected in-service dates of the OCCTs and ERGS natural gas conversion and their expected consumption levels".

In addition to the Commission staff proposed conditions related to the final design and construction of the project discussed previously, Commission staff also proposed a requirement that the applicant perform a close-interval survey (CIS) along the entire length of the buried pipeline following commissioning to assess the effectiveness of the cathodic protection system and to determine appropriate locations for permanent test stations. The applicant objected to this condition, which it interpreted to require close interval survey along the whole route as opposed to portions of it. While the applicant raised valid concerns regarding the ability to complete the close interval survey, it would not necessitate 30 miles of continuous wire as the applicant believed would be the case. The Commission finds it reasonable to require a CIS with a modification to the order condition language to clarify the Commission's intent as to what is being required and allowing for additional flexibility. The Commission therefore imposes the

following order condition: “The applicant shall work with commission staff to implement, to the extent reasonably practicable, the performance of a close-interval survey (CIS) along the entire length of the buried pipeline following commissioning to assess the effectiveness of the cathodic protection system and to determine appropriate locations for permanent test stations.”

Commission staff proposed a final project-specific condition related to the use of alternating current voltage gradient (ACVG) and/or direct current voltage gradient (DCVG) surveys. Staff asserted this condition to be necessary to ensure effective coating and remedial measures are made where possible, as surveys maximize the opportunity to identify and address coating damage early, which can occur during any phase of construction, including handling and directional boring or backfilling. Commission staff noted this would allow the applicant to detect and repair defects that pose a risk of external corrosion, thereby minimizing the likelihood of costly repairs or failures in the future. The applicant did not believe this condition necessary for approval of the project, but did not oppose. The Commission finds this condition as proposed is reasonable.

DATCP witness Biefeld recommended that the Commission require the applicant to hire an Agricultural Inspector (AI) with certain reporting responsibilities. DATCP also recommended that if the Commission did require an AI, that the AI should follow certain reporting formats and submit such monitoring forms on a weekly or timeframe based on consultation with the Commission, DATCP and the DNR. The Commission does not find this condition necessary for approval of the project.

Commissioner Hawkins dissents and believes that the condition would have helped ensure the applicant worked with impacted landowners to address agricultural issues.

DNR staff recommended the following order conditions to help avoid and minimize impacts to wetlands and waterways during construction and post-construction:

- As part of the final design planning, the applicant shall evaluate areas where the proposed bore path and location of bore pits could be shifted outside of wetlands, especially higher-quality wetlands.
- The applicant shall evaluate the feasibility of HDD and direct bore methods for crossing waterbody WB-20 and waterway S-50 utilizing the siting guidance contained in HDD Technical Standard 1072.
  - As part of this evaluation, the applicant should conduct desktop reviews for the site as part of initial design to identify water resources, potential constraints, and challenging slope, soil, and subsurface conditions.
  - The applicant shall collect geotechnical information at the proposed drill path location (or utilize previous site experience or historical geotechnical data, if available); if existing or historical geotechnical data is not available, conduct at least two geotechnical borings and extend the geotechnical bore depth to at least the planned drill path depth plus the pilot hole vertical tolerance. On-site work should identify in-situ, site-specific soil, bedrock, and depth to groundwater information.

The Commission does not find it necessary to include these measures as conditions for the approval of the project, because these conditions are captured in other commitments from the applicant.

Certificate

The applicant, as a gas public utility, may construct and place in operation the facilities in the Towns of Brighton, Dover, and Norway, the Villages of Rochester, Raymond, and Caledonia, and the City of Oak Creek, in Kenosha, Racine, and Milwaukee Counties as described in this Final Decision. The Commission grants the applicant a CA and authorized the applicant to proceed with the proposed preferred project route, at an estimated cost of $200,894,000, subject to the conditions of this Final Decision.

Order

1. The applicant is granted a CA to construct the proposed project at a total estimated cost of $200,894,000 excluding AFUDC as described in its application and data request responses and as modified by this Final Decision.

2. The Commission authorizes the applicant's Preferred Route.

3. The applicant is authorized to accrue 100 percent AFUDC provided the calculation of AFUDC shall not be based on a cost greater than $200,894,000.

4. The applicant shall notify and obtain approval from the Commission before proceeding with any substantial changes in the scope, design, size, or location of the project.

5. The Commission, consistent with its past practice, shall review in a future rate case proceeding the recoverability of costs associated with the project. If it is discovered or identified that the project cost, including *force majeure* costs, may exceed the estimated cost, the applicant shall, within 30 days of when it becomes aware of the possible change or cost increase, notify the Commission of the accounts or categories where costs deviate from those authorized

and shall itemize and segregate those costs by major accounts and provide sufficient documentation to support and explain the reasons for such deviations.

6. The applicant shall construct the approved project in accordance with applicable state and federal law, including Wis. Admin. Code ch. PSC 135 and 49 CFR Parts 192 and 199.

7. The applicant shall notify the Commission within five working days of the actual date, on site, physical construction of the approved project is started and shall notify the Commission within 20 working days after the approved facility is placed in service.

8. The applicant shall submit to the Commission the final actual costs, segregated by major accounts, within one year after the in-service date. For those accounts or categories where actual costs deviate significantly from those authorized, the final cost report shall itemize and explain the reasons for such deviations.

9. Nothing in this Final Decision authorizes the applicant to perform any of the following actions: waive filed extension rules; purchase additional transportation capacity, balancing, storage, or other pipeline services; or obtain purchased gas adjustment recovery of the costs of additional natural gas supply.

10. If the applicant does not begin on-site physical construction of the authorized project within one year of the effective date of the Final Decision in this proceeding, the Certificate authorizing the approved project shall become void unless the applicant:

a. files a written request for an extension of time with the Commission before the effective date on which the Certificate becomes void, and;

b. is granted an extension by the Commission.

11. If the applicant has not begun on-site physical construction of the authorized project and has not filed a written request for an extension before the date that this Certificate becomes void, the applicant shall inform the Commission of those facts within 20 days after the date on which the Certificate becomes void.

12. The applicant shall obtain all necessary federal, state, and local permits prior to commencement of construction.

13. The applicant shall conduct an updated Endangered Resources review closer to the start date of construction (no more than one year prior to construction start).

14. The applicant may propose minor adjustments to the approved route for the protection of environmental resources, to respond to landowner requests, or to implement technical design changes that arise during final stages of engineering, but any changes in alignment from the approved pipe location may not affect resources not discussed in the EA, nor may they affect new landowners who have not been given proper notice and hearing opportunity. The applicant shall consult with Commission staff regarding whether the change rises to the level where Commission review and approval is appropriate. For each proposed adjustment for which Commission review is appropriate, the applicant shall submit for Commission staff review and approval, a letter describing: the nature of the requested change; the reason for the requested change; the incremental difference in any environmental impacts caused by the change; communications with all potentially affected landowners regarding the change; and a map showing the approved route and the proposed modification, property boundaries, and relevant natural features such as woodlands, wetlands, waterways, and other sensitive areas. Approval of the request is delegated to the Administrator of the Diversion of Energy Regulation and Analysis

with advice and consent from the Administrator of the Division of Digital Access, Consumer and Environmental Affairs.

15. All commitments made by the applicant in its application, subsequent filings, and the provisions of the Final Decision shall apply to the applicant, any agents, contractors, successors, assigns, corporate affiliates, and any future owners or operators of the project.

16. Beginning with the end of the first full quarter after the order is served, and within 30 days of the end of each quarter thereafter and continuing until the authorized facility is fully operational, the applicant shall submit quarterly progress reports to the Commission that include all of the following:

a. The date that construction commences;

b. Major construction and environmental milestones, including permits obtained, by agency, subject, and date;

c. Summaries of the status of construction, the anticipated in-service date, and the overall percent of physical completion;

d. Actual project costs to-date segregated by line item as reflected in the cost breakdown listed in this Final Decision;

e. Once each year, a revised total cost estimate for the project;

f. The date that the facility is placed in service;

g. As applicable, a summary of competitive bids received within the quarter, if any, for work to be performed and equipment to be procured as part of the project;

h. Its efforts, and the efforts of its contractors, to recruit Wisconsin residents to fill employment opportunities created by the construction of the proposed project;

i. Its efforts, and the efforts of its contractors, to collaborate with state registered apprenticeship programs;

j. The actual number of Wisconsin residents and out-of-state workers employed on-site to construct the proposed project; and

k. The status of the applicant's planned conversion of the Elm Road Generating Station to natural gas.

17. In the event the applicant's anticipated or actual firm deliverability requirements as specified in the application significantly decrease, or the applicant decides not to pursue, or modifies the scope of, the planned conversion of the Elm Road Generating Station to natural gas, the applicant shall, within 30 days, both notify the Commission of the change and detail the changes in project scope.

18. The applicant shall provide, in a future rate case proceeding, information detailing how it developed its cost allocation methodology for this project. Information should include, but not be limited to, projections of allocation to natural gas system customers, the Oak Creek Combustion Turbines (OCCTs) and Elm Road Generating Station (ERGS) throughout time given expected in-service dates of the OCCTs and ERGS natural gas conversion and their expected consumption levels.

19. The applicant shall coordinate with DNR property manager(s) and relevant program staff for work proposed across the White River State Trail and within the Richard Bong State Recreation Area to specifically address project timing, site impacts, and site restoration measures to limit impacts to state properties.

20. The applicant shall design the pipeline using the Class 3 design factor in the steel pipe design formula.

21. The applicant shall conduct visual and radiographic inspection of all welds in accordance with its construction procedures.

22. The applicant shall perform current drain tests on all buried sections of the pipeline in accordance with its construction procedures.

23. The applicant shall pressure test the pipeline to 90 percent specified minimum yield strength (SMYS) at test pressure.

24. The applicant shall conduct a point-to-point verification between its supervisory control and data acquisition (SCADA) system and the new remote-controlled valves in accordance with its control room procedures.

25. The applicant shall ensure that the depth of cover for all buried pipeline segments installed in agricultural land is a minimum of 48 inches from the top of the pipe to the natural grade, unless site-specific conditions require greater depth for protection.

26. Except where the capacity of large volume customers requires it, the applicant shall ensure that no gas services are directly connected to the transmission line. All service connections must originate from a district regulator station that adequately reduces pressure and provides appropriate overpressure protection in compliance with applicable state and federal pipeline safety regulations.

27. The applicant shall run a caliper tool through the entire length of the pipeline prior to commissioning to identify any potential defects or irregularities in the pipe. The results of the caliper tool inspection shall be thoroughly documented, and any identified defects must be

addressed and repaired in accordance with applicable standards before the pipeline is placed into service.

28. All welding shall be overseen by an adequate number of certified welding inspectors but no fewer than one per active work area where welding takes place.

29. All welds shall be radiographically tested and accepted by a qualified radiographic technician.

30. The applicant shall develop and implement a detailed inspection program to ensure adequate inspection of materials, handling, and installation to prevent damaged or defective pipe or coating from being placed in service.

31. Each external protective coating must be inspected using appropriate electronic equipment while the pipe is being lowered in, or if this is not feasible, just prior to lowering the pipe into the ditch and backfilling, and any damage detrimental to effective corrosion control must be repaired.

32. The applicant shall work with Commission staff to implement, to the extent reasonably practicable, the performance of a close interval survey along the entire length of the buried pipeline following commissioning to assess the effectiveness of the cathodic protection system and to determine appropriate locations for permanent test stations.

33. The applicant shall perform an ACVG (alternating current voltage gradient) and/or DCVG (direct current voltage gradient) coating survey and apply the requirements of 49 CFR §§ 319(d)-(g) and 192.461(f)-(i) to all segments of buried pipe associated with the project, where feasible, including directionally drilled or jack and bored pipe.

34. This Final Decision takes effect one day after the date of service.

35. Jurisdiction is retained.

Dated at Madison, Wisconsin, the 2nd day of December, 2025.

By the Commission:



Cru Stubley
Secretary to the Commission

CS:AKR:jlt:dsa DL: 02097562

Attachments

See attached Notice of Rights

Docket 6630-CG-139

PUBLIC SERVICE COMMISSION OF WISCONSIN
4822 Madison Yards Way
P.O. Box 7854
Madison, Wisconsin 53707-7854

NOTICE OF RIGHTS FOR REHEARING OR JUDICIAL REVIEW, THE TIMES ALLOWED FOR EACH, AND THE IDENTIFICATION OF THE PARTY TO BE NAMED AS RESPONDENT

The following notice is served on you as part of the Commission's written decision. This general notice is for the purpose of ensuring compliance with Wis. Stat. § 227.48(2), and does not constitute a conclusion or admission that any particular party or person is necessarily aggrieved or that any particular decision or order is final or judicially reviewable.

PETITION FOR REHEARING

If this decision is an order following a contested case proceeding as defined in Wis. Stat. § 227.01(3), a person aggrieved by the decision has a right to petition the Commission for rehearing within 20 days of the date of service of this decision, as provided in Wis. Stat. § 227.49. The date of service is shown on the first page. If there is no date on the first page, the date of service is shown immediately above the signature line. The petition for rehearing must be filed with the Public Service Commission of Wisconsin and served on the parties. An appeal of this decision may also be taken directly to circuit court through the filing of a petition for judicial review. It is not necessary to first petition for rehearing.

PETITION FOR JUDICIAL REVIEW

A person aggrieved by this decision has a right to petition for judicial review as provided in Wis. Stat. § 227.53. In a contested case, the petition must be filed in circuit court and served upon the Public Service Commission of Wisconsin within 30 days of the date of service of this decision if there has been no petition for rehearing. If a timely petition for rehearing has been filed, the petition for judicial review must be filed within 30 days of the date of service of the order finally disposing of the petition for rehearing, or within 30 days after the final disposition of the petition for rehearing by operation of law pursuant to Wis. Stat. § 227.49(5), whichever is sooner. If an *untimely* petition for rehearing is filed, the 30-day period to petition for judicial review commences the date the Commission serves its original decision.[1] The Public Service Commission of Wisconsin must be named as respondent in the petition for judicial review.

If this decision is an order denying rehearing, a person aggrieved who wishes to appeal must seek judicial review rather than rehearing. A second petition for rehearing is not permitted.

Revised: March 27, 2013

[1] *See Currier v. Wisconsin Dep't of Revenue,* 2006 WI App 12, 288 Wis. 2d 693, 709 N.W.2d 520.

APPENDIX A

PUBLIC SERVICE COMMISSION OF WISCONSIN
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